

meter. (Attach the notebook to your wallet with a rubber band if it helps you remember to fill it out—or use the Notes program on your BlackBerry, cell phone, or iPhone.)

Once you've jotted down a month of expenses, you're ready to fill out the worksheet in Figure 2–2. You can do this online at my website (www.kobliner.com), and it will do the math for you. The point of the worksheet is to help you see where your money goes and then adjust your priorities.

Keep in mind when you fill out the worksheet that it's not necessary to be exact. Use your pay stubs and your bank statements to come up with reasonable estimates in the income section. For the outflow section, look at your spending diary, online bank statements, checkbook (if you use one), ATM receipts, and credit card statements. Don't forget that this worksheet is helping you examine your *monthly* expenses. For large expenses (like tuition, insurance, travel, and furniture), come up with monthly estimates. For expenses that vary from month to month (such as car repairs, clothing, and entertainment), take an average of four or five months' worth of spending. If possible, choose a month from each season so you can calculate a more accurate average.

Once you complete the worksheet, subtract your total outflow from your total income. If you come up with a negative number, that means you're spending more than you're taking in (obviously a problem). To do this, you'll need to think about your priorities and make some tough choices. Would you be able to save a bundle by cooking at home more often? Do you spend as much on clothes as you do on rent? Are you spending a ton of money on gifts? Are you subscribing to more magazines than you can actually read? Could you find a cheaper phone plan? Do you belong to a health club that you rarely go to? Is your car costing more than it's worth? Is recreational shopping making you broke? Are you overspending when you go out with friends after work? Could you save a few dollars by buying in bulk? These are some of the questions to consider.

With these questions in mind, go back over the entire outflow section. Consider where you can cut back—and by how much. To start, star those items that you feel are absolute necessities. (For most of us, that includes mortgage or rent, groceries, utilities, student loan payments, and health insurance premiums—although even here, many of us can cut back if we need to. There's more on that in Chapter 8.) Subtract your outflow on